What Students Are Learning

Unit 1 gives students the practical foundation for the rest of WISE.
The learning path is:

Budget → **Needs / Wants Spending Plan** → **Savings Habit**

Students learn that budgeting and saving are tools for clarity, choice, flexibility, and progress toward a goal. WISE does not frame budgeting as punishment, deprivation, shame, or proof of personal worth.

Unit Essential Question

How can a plan for my money help me make clear choices and reach real goals?

By the End of Unit 1, Students Should Be Able To

- identify income and expenses;
- distinguish fixed and variable expenses;
- calculate a budget balance;
- distinguish needs, wants, and gray-zone choices;
- build a spending plan using Needs → Savings → Wants;
- explain a trade-off;
- explain why saving matters;
- use Pay Yourself First as a saving strategy;
- identify a saving barrier and a realistic strategy; and
- write a SMART savings goal.

Why This Unit Matters

Money decisions are easier to understand when the plan is visible.
Students learn to ask:

- What money is coming in?
- What needs to be covered?
- What is being saved?
- What choices are flexible?
- What is left?
- What trade-off might be necessary?

They also learn that more than one plan can be reasonable.
The goal is to make the numbers and reasoning clear.

Optional Family Conversation

- What can make an expense fixed in one situation and variable in another?
- What can make something a need in one situation and a want in another?
- Why can planning ahead make a money decision easier?
- What is one small habit that can help someone save?
- Why might two people make different financial choices even when both are being thoughtful?

Try This Together — Fictional $100 Plan

Imagine a person has $100 available.
Decide together how much of the $100 should go toward:

Needs $_____ | **Savings** $_____ | **Wants** $_____

Then ask: What trade-off did we make, and why?
There is no single required answer. The goal is to explain the reasoning.

Words Families May Hear in Unit 1

budget • income • expense
fixed expense • variable expense
need • want • gray zone
spending plan • savings
balance • trade-off • surplus
Pay Yourself First • barrier
strategy • SMART goal

Privacy Reminder

Use fictional or sample information. Students do not need to discuss actual household income, bills, rent, debt, bank information, or financial hardship.

Lesson-by-Lesson Family Conversation Guide

1.1 Introduction to Budgeting

Students define a budget, identify income and expenses, distinguish fixed and variable expenses, and calculate a budget balance.



Key Idea

WISE uses this simple formula:

Income – Expenses – Savings = Balance

Students also learn that a recurring expense is not automatically fixed. What matters is whether the ***amount*** generally stays the same during the planning period.

Why It Matters

A budget can help someone see where money is going before making a decision. It can also make a trade-off easier to understand.



Conversation Starters

- What is one reason a budget can make a decision clearer?
- What kinds of expenses might be easy to forget?
- What is the difference between a fixed expense and a variable expense?
- How can a budget still leave room for personal choice?



Optional At-Home Activity

Create a fictional budget for a sample student using rounded numbers. Include:

- income;
- expenses;
- savings; and
- a final balance.



Optional Digital Companion

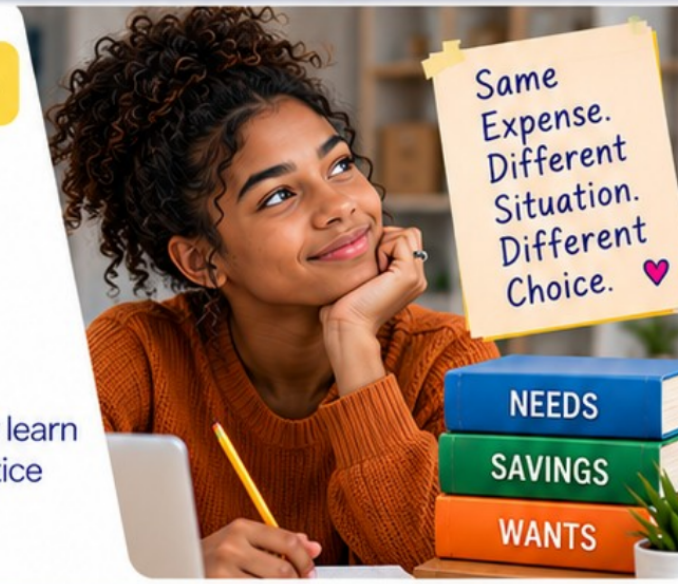
Devon's Month

Students can see how changing events and choices affect a fictional monthly budget.



Lesson-by-Lesson Family Conversation Guide

1.2 Needs vs. Wants



Students distinguish needs, wants, and gray-zone choices. They learn that context can change how an expense is classified and practice building a spending plan.

Key Idea

WISE uses this simple sequence to organize a spending plan:

Needs — Essentials for daily life → **Savings** — Plan for the future → **Wants** — Extras and personal choice

The same expense can be a need, want, or gray-zone choice depending on the situation.

Why It Matters

Many financial decisions are not simply "right" or "wrong." Circumstances, priorities, timing, and trade-offs can change what makes sense.



Conversation Starters

- What is something that could be a need in one situation and a want in another?
- Why does context matter?
- Why does WISE place planned savings before wants in the spending-plan sequence?
- What is an example of a trade-off someone might make for a larger goal?



Optional At-Home Activity

Sort a fictional list of expenses into Need, Want, or Gray Zone. Then change one detail in the situation and ask whether any classification changes.



Optional Digital Companion

Priority Shift

Students explore how changing circumstances can change priorities inside a fictional spending plan.



Lesson-by-Lesson Family Conversation Guide

1.3 Building a Savings Habit

Students learn why saving matters, explore barriers that can make saving difficult, compare realistic saving strategies, use Pay Yourself First, and build a SMART savings goal.



Key Ideas

Students explore and practice key saving strategies:

- Why Saving Matters
- Common Barriers
- Realistic Strategies
- Pay Yourself First
- SMART Savings Goal

Why It Matters

Saving is easier to plan when the goal, timeline, amount, and strategy are visible. Students also learn that saving may not be possible at the same level in every situation.



Conversation Starters

1. What can make saving difficult even when the goal matters?
2. What does “Pay Yourself First” mean?
3. Why might one saving strategy work for one person but not another?
4. What makes a savings goal SMART and realistic?



Optional At-Home Activity

Create a fictional SMART savings goal that includes:

- what the person is saving for;
- the target amount;
- the timeline; and
- a realistic recurring saving amount.



Optional Digital Companion

Goal in Motion

Students explore how a savings goal changes when circumstances change.

